

Recite exam of macroeconomics (3hours)

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Academics year 2020/2021 (Recite session)

I Define the following concepts: (6 points)

- Patchet effect
- Fluctuation *constant upward and downward movements of curves*
- Money *of curves*
- Glorious thirty *It is a period of 1*
- Resident
- Opportunity cost *22 + 15 r*

✓ II Give the multiplier for three sectors economy with exogenous taxes (3 points)

✓ III Define, give the causes and types of inflation (5 points)

IV For what reason can we say that GDP is a bad indicator? (3 points)

Exercise (3 points)

Let's consider the following relations:

$$Y = C + I; C = 50 + 0,8Y; I_0 = 50$$

- 1) What is permanent income? (0.5 pt)
- 2) Draw the consumption function (0.5 pt)
- 3) Draw the global demand function (0.5pt)
- 4) Write the equations of consumption function in short run and in long run (1 pt) *get*
- 5) Find graphically the equilibrium level of income (0.5 pt)

$$Y = \frac{1}{1 - c(1 - t) + m}$$

$$Y = \frac{1}{(1 - c)(1 + t)}$$

weaknesses → population well being
inflation
exchange rate and
policy